

BagDrop Business Plan

Smart Luggage Storage & Delivery

Team TeamBack

January 2026

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PART 1: Vision, Mission & Objectives

Team: TeamBack

Location: Kutch, Gujarat, India

Date: January 2026

Vision Statement

“To become India’s leading smart luggage storage and delivery network, empowering every traveler to explore freely without the burden of their bags.”

We envision a future where no traveler in India — whether a tourist, student, or business professional — has to drag heavy luggage through crowded stations, miss out on exploring new places, or worry about forgotten bags. BagDrop will be synonymous with hassle-free travel across the nation.

Mission Statement

“To provide secure, contactless, and affordable luggage storage solutions through a network of verified local partners, enabling travelers to store their bags anywhere and pick them up anytime — with the added assurance of nationwide delivery for forgotten luggage.”

Our Core Commitments:

1. **Accessibility** — Storage points near every major transit hub in India
 2. **Affordability** — Starting at just ₹50 for 6 hours (cheaper than railway cloakrooms)
 3. **Security** — OTP/NFC token-based retrieval with verified partner network
 4. **Innovation** — Self-service kiosks and smart locker integrations
 5. **Customer First** — 24/7 support with forgotten luggage delivery service
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Business Objectives

Short-Term Objectives (0-12 Months)

#	Objective	Target	Timeline
1	Launch mobile app (iOS & Android)	Full feature launch	Month 3
2	Onboard partner locations in Gujarat	50+ locations	Month 6
3	Establish presence in Kutch region	10+ locations (Bhuj, Gandhidham, Mandvi)	Month 4
4	Achieve monthly bookings	5,000 bookings/month	Month 12
5	Build customer support team	5-member team	Month 6

Medium-Term Objectives (1-2 Years)

#	Objective	Target	Timeline
1	Expand to 50+ cities across India	Pan-India presence	Year 1
2	Partner with major airports	5 airports	Year 2
3	Launch subscription plans	Premium tier	Year 1.5
4	Achieve monthly revenue	₹7,50,000/month	Year 2
5	Deploy self-service kiosks	20 kiosks	Year 2

Long-Term Objectives (3-5 Years)

#	Objective	Target	Timeline
1	Become India's #1 luggage storage network	Market leader	Year 5
2	Smart locker integrations at transit hubs	100+ smart lockers	Year 4
3	International expansion	Southeast Asia	Year 5
4	Achieve valuation for acquisition/IPO	₹50+ Crore	Year 5

The Problem We Solve

"Imagine you've checked out of your hotel at 10 a.m., but your train is at 7 p.m. You want to explore the city... but your luggage says no. You drag it through cafes, metros, crowded streets — and suddenly, travel feels like a chore, not a vibe."

Key Pain Points:

1. **Early Checkout, Late Departure** — Hotels force checkout but flights/trains are hours away
2. **Heavy Bags, Ruined Plans** — Dragging luggage kills the travel experience
3. **Overpriced Cloakrooms** — Railway lockers cost ₹100+/day, often full or broken
4. **Forgotten Luggage** — No easy way to retrieve bags left behind

Statistic: 70% of travelers face luggage problems during their trip.

Our Solution

BagDrop — A smart, affordable, contactless luggage storage and delivery network, built for travelers who want freedom.

How It Works:

1. **FIND** — Open app, locate nearby BagDrop location
2. **BOOK** — Select slot, pay via UPI/Card/NFC
3. **DROP** — Leave bags, get OTP/NFC token
4. **RETRIEVE** — Show token, collect bags
5. **DELIVER** — Forgot bag? We courier it anywhere in India

Average drop time: Under 2 minutes

Why Kutch, Gujarat?

Factor	Advantage
Tourist Hub	Rann of Kutch attracts 5 lakh+ visitors annually during Rann Utsav
Transit Points	Bhuj Railway Station, Gandhidham Junction handle massive tourist traffic
Growing Economy	Gujarat's tourism is growing at 12% CAGR
Strategic Location	Gateway to Rann of Kutch, near Mundra Port
Cultural Tourism	Handicrafts, Bhujodi, Dholavira attract year-round visitors

PART 2: Target Group & Audience

Team: TeamBack

Location: Kutch, Gujarat, India

Date: January 2026

Primary Target Segments

1. Tourists & Backpackers

Attribute	Details
Demographics	Age 18-45, domestic & international travelers
Pain Point	Need to explore cities but carrying heavy bags
Behavior	Booking accommodation via MakeMyTrip, Goibibo, Hostelworld
Usage	Store bags while sightseeing, temple visits, shopping
Revenue Potential	High — Multiple hours of storage, premium for NFC tokens

Kutch-Specific: Rann Utsav visitors (November-February), Dholavira tourists, Bhujodi handicraft shoppers

2. Train & Bus Travelers

Attribute	Details
Demographics	Age 20-55, frequent interstate travelers
Pain Point	Arrive early, departure is hours later; no secure storage
Behavior	Use IRCTC, RedBus, State Transport
Usage	Short-term storage (3-8 hours) near stations
Revenue Potential	High volume — large numbers passing through daily

Gujarat-Specific Stations: - Bhuj Railway Station - Gandhidham Junction - Ahmedabad Junction - Surat Railway Station - Vadodara Junction

3. Students & Daily Commuters

Attribute	Details
Demographics	Age 17-25, college students traveling between cities
Pain Point	Heavy bags during inter-city travel for exams, interviews, visits
Behavior	Budget-conscious, prefer UPI payments
Usage	6-12 hours storage during exams, internship interviews
Revenue Potential	Medium — Price-sensitive but high volume

Gujarat Universities: Gujarat University, CEPT, IIT Gandhinagar, Nirma University

4. Business Travelers

Attribute	Details
Demographics	Age 28-50, professionals, SME owners
Pain Point	Need to move light between meetings; don't want to carry laptop bags + luggage
Behavior	Use airports, Ola/Uber, coworking spaces
Usage	Premium quick-access storage, NFC tokens preferred
Revenue Potential	High — Willing to pay premium for convenience

Gujarat Business Hubs: GIFT City, Ahmedabad, Surat Diamond Hub, Mundra Port Area

5. Forgotten Luggage Customers

Attribute	Details
Demographics	All ages, any traveler who left bags behind
Pain Point	Left bag at hotel/station, no easy retrieval
Behavior	Desperate, willing to pay for courier delivery
Usage	Delivery service (one-time, high-value transaction)
Revenue Potential	Very High — ₹300-1,500 per delivery arrangement

Market Size (Gujarat & India)

Gujarat Tourism Statistics (2025-26)

Metric	Value
Domestic Tourists	5.5 Crore annually
Foreign Tourists	5.2 Lakh annually
Rann Utsav Visitors	5-7 Lakh per season
Gujarat Tourism Growth	12% CAGR

Indian Travel Market (2025-26)

Metric	Value
Railway Passengers	2,400 Crore annually
Domestic Air Passengers	15 Crore annually
Bus Travelers	10,000 Crore km annually
Travel & Tourism Contribution	5% of GDP (₹15 Lakh Crore)

Customer Personas

Persona 1: Arjun (Tourist)

"Arjun arrives at the railway station with his luggage. His flight is in five hours. He cannot carry bags the entire time."

- **Age:** 28
 - **Occupation:** Software Engineer, Bengaluru
 - **Travel Purpose:** Rann Utsav visit
 - **Pain:** Checked out from White Rann Resort at 10 AM, bus to Ahmedabad at 6 PM
 - **Need:** 8 hours secure storage near Bhuj bus stand
 - **Willingness to Pay:** ₹100-150
-

Persona 2: Kavya (Student)

- **Age:** 21
 - **Occupation:** B.Com student, Ahmedabad
 - **Travel Purpose:** Visiting home in Bhuj for Diwali
 - **Pain:** Arrives early, wants to shop at Law Garden before going home
 - **Need:** 4 hours storage near Ahmedabad station
 - **Willingness to Pay:** ₹50-75
-

Persona 3: Mehul (Business Traveler)

- **Age:** 42
 - **Occupation:** Diamond Merchant, Surat
 - **Travel Purpose:** Business meetings in Mumbai
 - **Pain:** Carrying 2 bags between 3 meetings is exhausting
 - **Need:** Premium quick-access, NFC token for fast retrieval
 - **Willingness to Pay:** ₹200-300
-

Geographic Focus (Phase 1: Gujarat)

Tier 1 Cities (Priority Launch)

1. Ahmedabad — 8 Million+ population, major transit hub
2. Surat — Diamond & textile hub, high business traffic
3. Vadodara — Industrial city, railway junction

Tier 2 Cities (Phase 2)

1. Rajkot — Commercial hub of Saurashtra
2. Bhavnagar — Port city, textile industry
3. Jamnagar — Industrial & tourist destination

Kutch Region (Special Focus)

1. **Bhuj** — Gateway to Rann, heritage tourism
 2. **Gandhidham** — Railway junction, port proximity
 3. **Mandvi** — Beach tourism, handicrafts
 4. **Dholavira** — UNESCO site, archaeological tourism
-

Customer Acquisition Channels

Channel	Target Segment	Strategy
Instagram/Facebook Ads	Tourists, Students	Geo-targeted during Rann Utsav
Google Ads	All Travelers	“Luggage storage near me” keywords
Travel Influencers	Backpackers, Tourists	Gujarati travel vloggers partnership

Channel	Target Segment	Strategy
Railway Station Flyers	Train Travelers	Physical presence at Bhuj, Gandhidham
Hotel Partnerships	Tourists	Tie-ups with budget hotels, homestays
OTA Integration	All	MakeMyTrip, Goibibo app integration

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PART 3: Management Plan

Team: TeamBack

Location: Kutch, Gujarat, India

Date: January 2026

□ Organizational Structure

CEO / FOUNDER
Overall Strategy

CTO
App & Tech

Operations
Manager

Marketing
Manager

Dev Team
(2 Developers)

Logistics
Coordinator

Customer
Support

Core Team Roles

1. CEO / Founder

Attribute	Details
Responsibilities	Overall strategy, vision, investor relations, partnerships
Skills Required	Leadership, business development, networking
Time Commitment	Full-time
Salary (Initial)	₹50,000/month (or equity-based)

Key Tasks: - Define company vision and growth roadmap - Secure funding and investor relations - Build strategic partnerships (OTAs, hotels, railways) - Legal compliance and company registration

2. CTO (Chief Technology Officer)

Attribute	Details
Responsibilities	App development, platform tech, kiosk systems
Skills Required	React Native/Flutter, Node.js, AWS, NFC/IoT
Time Commitment	Full-time
Salary (Initial)	₹60,000/month

Key Tasks: - Build and maintain iOS & Android app - Develop partner dashboard - Integrate payment gateways (Razorpay, PhonePe) - Set up secure OTP/NFC token system - Kiosk software development

3. Operations Manager

Attribute	Details
Responsibilities	Partner onboarding, quality control, store verification
Skills Required	Operations, vendor management, quality assurance
Time Commitment	Full-time
Salary (Initial)	₹35,000/month

Key Tasks: - Identify and onboard local shop partners - Conduct partner verification and background checks - Quality audits of storage locations - Handle partner disputes and escalations - Training kit development for partners

4. Logistics Coordinator

Attribute	Details
Responsibilities	Delivery partner management, forgotten luggage logistics
Skills Required	Supply chain, logistics, vendor coordination
Time Commitment	Full-time
Salary (Initial)	₹30,000/month

Key Tasks: - Partner with courier services (Delhivery, DTDC, BlueDart) - Coordinate forgotten luggage pickups and deliveries - Negotiate delivery rates and SLAs - Track and ensure timely deliveries - Handle delivery-related complaints

5. Customer Support Lead

Attribute	Details
Responsibilities	Phone & app support, complaint resolution
Skills Required	Communication, empathy, problem-solving
Time Commitment	Full-time (shift-based for 24/7)
Salary (Initial)	₹25,000/month

Key Tasks: - Handle customer queries via phone/chat/email - Resolve booking issues and disputes - Process refunds when required - Escalate critical issues to management - Maintain FAQ and help documentation

Hiring Plan (Year 1)

Quarter	Position	Count	Monthly Cost
Q1	Founding Team (CEO, CTO)	2	₹1,10,000
Q2	Operations Manager	1	₹35,000
Q2	Customer Support	2	₹50,000
Q3	Logistics Coordinator	1	₹30,000
Q3	Junior Developer	1	₹30,000
Q4	Marketing Executive	1	₹30,000
Total (End of Year 1)		8	₹2,85,000/month

Legal & Compliance (India)

Company Registration

Requirement	Details
Entity Type	Private Limited Company (Pvt. Ltd.)
Registration	MCA - Ministry of Corporate Affairs
GST Registration	Mandatory (Service Provider)
GSTIN	Required for billing partners and customers
PAN	Company PAN mandatory

Licenses Required

License	Authority	Cost (Approx.)
Shop & Establishment Act	Gujarat Labour Dept.	₹2,000 - ₹5,000
GST Registration	GST Portal	Free
Trade License	Local Municipal Corporation	₹5,000 - ₹10,000/year
FSSAI (if food storage)	FSSAI	₹5,000 - ₹25,000

Office Setup (Kutch/Ahmedabad)

Option 1: Co-Working Space (Recommended for Phase 1)

Location	Provider	Cost/Month
Ahmedabad	91SpringBoard, WeWork	₹15,000 - ₹25,000
Bhuj	Local co-working	₹8,000 - ₹12,000

Option 2: Rented Office (Phase 2)

Location	Size	Rent/Month	Deposit
Ahmedabad (Prahlad Nagar)	500 sq.ft	₹25,000 - ₹40,000	6 months
Bhuj	400 sq.ft	₹10,000 - ₹15,000	3 months

Partner Onboarding Process

Step 1: Partner Identification

- Identify shops near transit hubs (railway stations, bus stands)
- Target: Local general stores, cafes, hotels, pharmacies

Step 2: Verification

- KYC documents (Aadhaar, PAN, GST)
- Physical verification of premises
- Background check (police verification if needed)

Step 3: Agreement

- Sign BagDrop Partner Agreement
- Terms: Revenue share (70:30 — Partner:BagDrop)
- Insurance and liability clauses

Step 4: Training

- Provide training kit (video + manual in Gujarati/Hindi)
- App walkthrough for partner dashboard
- Security protocols and emergency handling

Step 5: Go Live

- Activate location on BagDrop app
- Monitor initial transactions
- Weekly quality check for first month

Partner Agreement Terms

Clause	Details
Revenue Share	70% Partner, 30% BagDrop
Payment Cycle	Weekly settlement via bank transfer
Liability	Partner liable for loss up to ₹5,000; BagDrop insurance covers above
Termination	15 days written notice by either party
Minimum Hours	Partner must provide 10 AM - 8 PM access
Lock-in Period	None

Insurance & Liability

Type	Coverage	Provider	Premium (Annual)
Public Liability Insurance	₹10 Lakh	ICICI Lombard, Bajaj Allianz	₹15,000 - ₹25,000
Storage Insurance	₹25,000/bag (lost items)	New India Assurance	₹20,000 - ₹35,000
Employee Insurance	Group health + accident	Star Health	₹30,000 - ₹50,000

PART 4: Marketing Plan

Team: TeamBack

Location: Kutch, Gujarat, India

Date: January 2026

Marketing Objectives

Objective	Target	Timeline
Brand Awareness	50,000 app downloads	6 months
Partner Acquisition	100 storage locations	6 months
Customer Acquisition	10,000 active users	12 months
Monthly Bookings	30,000 bookings	12 months
Customer Retention	40% repeat usage	12 months

Marketing Strategy: Multi-Channel Approach

1. Digital Marketing

Social Media Advertising

Platform	Target Audience	Budget/Month	Expected Reach
Instagram	Tourists, Backpackers (18-35)	₹15,000	50,000+ impressions
Facebook	Families, Business Travelers	₹10,000	40,000+ impressions
Google Ads	"luggage storage near me"	₹20,000	5,000+ clicks
YouTube	Travel content viewers	₹10,000	30,000+ views

Total Digital Budget: ₹55,000/month

Ad Copy Examples: Instagram Story Ad: > "Checked out but flight is later? 📱➔
> Store your bags at ₹50/6hrs with BagDrop!
> 100+ locations in Gujarat
> Download Now! 📲"

Google Search Ad: > **Luggage Storage in Bhuj | Starts ₹50**
> Secure. Contactless. 24/7 Support.
> Store at local shops. Pick up anytime.
> [Website TBD]

2. Influencer Marketing

Travel Vlogger Partnerships

Influencer Type	Followers	Cost/Post	Expected TAT
Micro (Gujarati travel)	10K-50K	₹5,000 - ₹15,000	7 days
Mid-tier (Indian travel)	50K-200K	₹20,000 - ₹50,000	14 days
Macro (National reach)	200K+	₹75,000+	21 days

Target Influencers: - Gujarati travel vloggers covering Rann Utsav - Backpacker YouTubers (Nomadic Indian, Travelistan, etc.) - Instagram travel photographers

Collaboration Ideas: - Sponsored “Day in Bhuj” vlog using BagDrop - Reel showing the 5-step process
- Story takeover during Rann Utsav

3. On-Ground Marketing (BTL)

Transit Hub Presence

Location	Activity	Cost/Month
Bhuj Railway Station	Standees, Flyers	₹5,000
Gandhidham Junction	Posters, Hoardings	₹8,000
Ahmedabad ST Bus Stand	Flyers, Banners	₹10,000
Rann Utsav Tent City	Kiosk placement	₹25,000

Collateral Design: - A4 Flyers in Gujarati/Hindi/English - QR Code linking to app download - Standees at partner locations - Branded counter displays for partners

4. Referral Program

User Referral Rewards

Action	Reward (Referrer)	Reward (New User)
Friend Signs Up	₹50 BagDrop Credit	₹25 First Booking Discount
5 Referrals Complete	₹100 Bonus	-
10 Referrals	Free Premium NFC Token	-

Referral Mechanics: 1. User gets unique referral code in app 2. Friend enters code during signup 3. Credit added after friend’s first booking 4. Stackable credits (no expiry for 6 months)

5. Partner Referral Incentives

Milestone	Partner Bonus
First 50 bookings	₹500 cash bonus
100 bookings	₹1,000 + Featured on app
500 bookings	₹5,000 + “Trusted Partner” badge
Top 10 Monthly	Prize + Recognition

6. Strategic Partnerships

OTA & Travel App Integration

Partner	Integration Type	Revenue Model
MakeMyTrip	Add-on service	15% commission
Goibibo	In-app booking	15% commission
RedBus	Cross-promo	Revenue share
ixigo	API integration	Revenue share

Hotel & Hostel Partnerships

Partner Type	Offer	Commission
Budget Hotels	“Store with BagDrop” checkout option	10%
Zostel/Hostels	Free 2-hour storage for guests	Fixed fee
OYO Rooms	In-app integration	12%

Railway & Bus Operators

Partner	Benefit
IRCTC	Explore partnership for locker installation
GSRTC	Co-branding at bus stands
Blablacar	Cross-promotion

Marketing Calendar (Year 1)

Q1 (Jan-Mar): Launch Phase

Month	Activity	Budget
January	App launch, PR release	₹30,000
February	Rann Utsav campaign (peak tourism)	₹75,000
March	Holi travel campaign	₹40,000

Q2 (Apr-Jun): Growth Phase

Month	Activity	Budget
April	Summer travel campaign	₹50,000
May	Student travel (exam season)	₹30,000
June	Monsoon special (“Store before the rain”)	₹25,000

Q3 (Jul-Sep): Expansion Phase

Month	Activity	Budget
July	Gujarat expansion campaign	₹60,000
August	Independence Day travel offers	₹35,000
September	Navratri pre-campaign	₹45,000

Q4 (Oct-Dec): Peak Season

Month	Activity	Budget
October	Navratri + Dussehra campaign	₹80,000
November	Rann Utsav 2026 launch	₹1,00,000
December	Winter tourism + New Year	₹75,000

Total Annual Marketing Budget: ₹6,45,000 (~₹54,000/month)

Content Marketing Strategy

Blog Topics (SEO)

1. “Top 10 Things to Do in Bhuj Without Luggage”
2. “Rann Utsav Packing Checklist + Storage Tips”
3. “Railway Station Locker Alternatives in Gujarat”
4. “How to Travel Light: A Backpacker’s Guide”

Social Media Content Calendar

Day	Platform	Content Type
Monday	Instagram	User Testimonial Reel
Tuesday	Facebook	Tips & Tricks Post
Wednesday	Instagram	Behind-the-Scenes Story
Thursday	YouTube	Partner Store Feature
Friday	All	Weekend Travel Offer
Saturday	Instagram	User-Generated Content
Sunday	Twitter/X	Industry News, Thread

Key Performance Indicators (KPIs)

KPI	Target (Month 6)	Target (Month 12)
App Downloads	25,000	75,000
Monthly Active Users	5,000	20,000
Monthly Bookings	10,000	30,000
Partner Locations	50	150
Cost Per Acquisition (CPA)	₹50	₹35
Customer Lifetime Value (LTV)	₹200	₹350
Social Media Followers	10,000	40,000
App Store Rating	4.2★	4.5★

Brand Guidelines

Brand Voice

- **Friendly** — Talk like a helpful travel buddy
- **Confident** — We solve a real problem
- **Local** — Gujarat-first approach
- **Simple** — No jargon, clear messaging

Brand Colors

- **Primary Yellow:** #FFD700 (Gold)
- **Black:** #000000
- **White:** #FFFFFF

Taglines

- **Main:** “Store. Explore. Relax.”
- **Hindi:** “Samaan Rakhiye, Khulke Ghoomiye”
- **Gujarati:** “Samaan Muko, Aaraam thi Faro”

PART 5: Financial Plan

Team: TeamBack

Location: Kutch, Gujarat, India
Date: January 2026

Revenue Model

Primary Revenue Streams

Stream	Description	Rate	Commission
Storage Fees	Per-booking charges	₹50 - ₹200	30% to BagDrop
Delivery Fees	Forgotten luggage courier	₹300 - ₹1,500	20% to BagDrop
NFC Premium Tokens	Fast-access physical tokens	₹199 one-time	100% to BagDrop
Kiosk Advertisements	Display ads on self-service kiosks	₹5,000/month/kiosk	100% to BagDrop
Partner Subscription	Premium partner features	₹500/month	100% to BagDrop

Pricing Structure (INR)

Storage Pricing

Duration	Standard Rate	Partner Share (70%)	BagDrop Share (30%)
0-6 hours	₹50	₹35	₹15
6-12 hours	₹80	₹56	₹24
12-24 hours	₹120	₹84	₹36
Each additional day	₹100	₹70	₹30

Delivery Pricing (Forgotten Luggage)

Distance	Delivery Charge	Courier Partner Share	BagDrop Share (20%)
Within city	₹300	₹240	₹60
State (Gujarat)	₹500	₹400	₹100
Inter-state (India)	₹800 - ₹1,500	₹640 - ₹1,200	₹160 - ₹300

Premium Services

Service	Price	Margin
NFC Premium Token	₹199	₹199 (100%)
Priority Support	₹99/booking	₹99 (100%)
Insurance Add-on (₹25,000 cover)	₹49/booking	₹35 after insurer share

Revenue Projections (Year 1)

Monthly Booking Targets

Month	Bookings	Avg. Value	Gross Revenue	BagDrop Revenue (30%)
1	500	₹60	₹30,000	₹9,000
2	1,000	₹60	₹60,000	₹18,000
3	2,000	₹65	₹1,30,000	₹39,000
4	3,500	₹65	₹2,27,500	₹68,250
5	5,000	₹70	₹3,50,000	₹1,05,000
6	7,500	₹70	₹5,25,000	₹1,57,500

Month	Bookings	Avg. Value	Gross Revenue	BagDrop Revenue (30%)
7	10,000	₹75	₹7,50,000	₹2,25,000
8	12,500	₹75	₹9,37,500	₹2,81,250
9	15,000	₹80	₹12,00,000	₹3,60,000
10	20,000	₹80	₹16,00,000	₹4,80,000
11	25,000	₹85	₹21,25,000	₹6,37,500
12	30,000	₹85	₹25,50,000	₹7,65,000
Year 1 Total	1,32,000		₹1,04,85,000	₹31,45,500

Delivery Revenue (Year 1)

Quarter	Deliveries	Avg. Fee	Gross Revenue	BagDrop Revenue (20%)
Q1	100	₹400	₹40,000	₹8,000
Q2	300	₹450	₹1,35,000	₹27,000
Q3	600	₹500	₹3,00,000	₹60,000
Q4	1,000	₹550	₹5,50,000	₹1,10,000
Year 1 Total	2,000		₹10,25,000	₹2,05,000

Other Revenue (Year 1)

Source	Annual Revenue
NFC Token Sales (500 units × ₹199)	₹99,500
Partner Premium Subscription (20 × ₹500 × 6 months)	₹60,000
Kiosk Ads (5 kiosks × ₹5,000 × 4 months)	₹1,00,000
Insurance Add-ons (2,000 × ₹35)	₹70,000
Total Other Revenue	₹3,29,500

Total Revenue Summary (Year 1)

Revenue Stream	Amount (INR)
Storage Commission	₹31,45,500
Delivery Commission	₹2,05,000
Other Revenue	₹3,29,500
Total Year 1 Revenue	₹36,80,000

Cost Structure

One-Time Setup Costs

Category	Item	Cost (INR)
Tech Development	Mobile App (iOS + Android)	₹3,00,000
	Partner Dashboard (Web)	₹1,00,000
	Backend & API Development	₹1,50,000
	Payment Gateway Integration	₹50,000
Legal & Registration	Company Registration (Pvt Ltd)	₹25,000
	GST Registration	₹5,000
	Trademark Registration	₹15,000
	Legal Documentation	₹30,000

Category	Item	Cost (INR)
Equipment	Laptops (3 units)	₹1,50,000
	Kiosk Prototypes (2 units)	₹1,00,000
	Office Setup	₹50,000
Branding	Logo & Brand Identity	₹30,000
	Website Development	₹40,000
	Marketing Collateral	₹25,000
Total Setup Costs		₹9,70,000

Monthly Operating Costs

Category	Item	Monthly Cost (INR)
Salaries	Team (8 members by Q4)	₹2,85,000
	Co-working Space	₹20,000
	Utilities & Internet	₹5,000
Technology	AWS/Cloud Hosting	₹15,000
	Payment Gateway Fees (2%)	Variable (~₹20,000)
	SMS/OTP Service	₹10,000
Marketing	Digital Ads	₹55,000
	On-ground Marketing	₹25,000
	Influencer Marketing	₹30,000
Operations	Partner Training & Support	₹10,000
	Courier Partnership Fees	₹15,000
Insurance	Liability + Storage Insurance	₹5,000
Miscellaneous	Travel, Contingency	₹20,000
Total Monthly Costs (Q4)		₹5,15,000

□ Monthly Burn Rate Projection

Quarter	Avg. Monthly Revenue	Avg. Monthly Cost	Net Burn/Profit
Q1	₹22,000	₹2,50,000	-₹2,28,000
Q2	₹70,750	₹3,20,000	-₹2,49,250
Q3	₹2,22,000	₹4,20,000	-₹1,98,000
Q4	₹6,27,500	₹5,15,000	+₹1,12,500

Break-even Month: Month 10-11

Funding Requirements

Seed Funding Ask

Purpose	Amount (INR)
Tech Development	₹5,00,000
6-Month Runway (Salaries + Ops)	₹18,00,000
Marketing (Year 1)	₹6,50,000
Equipment & Setup	₹3,00,000
Contingency (10%)	₹3,25,000
Total Seed Ask	₹35,75,000 (~₹36 Lakh)

Funding Sources (India)

Source	Type	Amount Range
Angel Investors	Equity	₹25 Lakh - ₹1 Crore
Incubators (IIM, CIIE, A-Hub)	Grant + Equity	₹10-50 Lakh
Gujarat Startup Policy	Grant	Up to ₹30 Lakh
Startup India Seed Fund	Loan/Grant	₹20-50 Lakh
Bank Loan (MUDRA/MSME)	Debt	₹10-50 Lakh

Financial Projections (3 Years)

Metric	Year 1	Year 2	Year 3
Total Bookings	1,32,000	5,00,000	15,00,000
Partner Locations	150	500	1,500
Cities	10	50	150
Gross Revenue	₹1,15,10,000	₹4,25,00,000	₹12,75,00,000
BagDrop Revenue	₹36,80,000	₹1,27,50,000	₹3,82,50,000
Operating Costs	₹45,00,000	₹85,00,000	₹1,50,00,000
Net Profit (Loss)	(₹8,20,000)	₹42,50,000	₹2,32,50,000
Team Size	8	25	60

GST & Tax Implications

GST Structure

Service	GST Rate	HSN/SAC Code
Storage Services	18%	SAC 996714
Delivery/Courier	18% (if applicable)	SAC 996812
Technology Platform Fee	18%	SAC 998314

Tax Planning

Tax	Rate	Notes
Corporate Tax (Startup)	15%	Under Section 115BAB (new manufacturing) or 25% regular
TDS on Partner Payments	2%	Section 194C for contractor payments
GST Input Credit	Claimable	On tech, marketing, office expenses

Startup India Benefits

- **Tax Holiday:** 3 years out of first 10 years (80-IAC)
- **Angel Tax Exemption:** DPIIT registered startups
- **Self-Certification:** Labour & environment laws

Payment Settlement Terms

Customer Payments

- **UPI (GPay, PhonePe, Paytm):** Instant settlement
- **Credit/Debit Cards:** T+2 settlement via Razorpay
- **NFC/Wallets:** Instant

Partner Settlements

Frequency	Method	Processing Fee
Weekly Minimum Payout Payment Day	Bank Transfer (NEFT/IMPS) ₹500 Every Monday	₹5-10 per transaction Rolled over if below For previous week earnings

Gujarat-Specific Financial Considerations

Land & Space Rental (Partner Locations)

Location	Typical Rent (per sq.ft/month)	Notes
Bhuj (Shop near station)	₹20-40	Partners bear their own rent
Gandhidham	₹30-50	Commercial hub
Ahmedabad (Prime)	₹60-100	High footfall areas
Rann Utsav Tent City	₹5,000-10,000 (seasonal)	3-month season

Gujarat Startup Policy Benefits

- **Seed Stage:** Up to ₹30 Lakh
- **Sustenance Allowance:** ₹20,000/month for 2 years
- **Mentoring Support:** Free via iCreate, AIC
- **Patent Reimbursement:** Up to ₹10 Lakh

Financial Risk Mitigation

Risk	Mitigation
Low bookings	Aggressive referral program, dynamic pricing
Partner defaults	Weekly settlements, security deposit (₹5,000)
Fraud/Theft	Insurance coverage, partner verification, CCTV requirement
Payment disputes	Clear T&C, escrow for high-value items
Competition	Focus on delivery feature (USP), local partnerships

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PART 6: Exit Strategy

Team: TeamBack

Location: Kutch, Gujarat, India

Date: January 2026

Exit Strategy Overview

BagDrop is designed with multiple exit paths to provide returns for founders and investors. Our focus is on building a scalable, technology-driven platform with a strong partner network that creates acquisition value.

Exit Objectives

Objective	Target	Timeline
Build sustainable revenue	₹3+ Crore ARR	Year 3
Achieve market leadership	#1 in Gujarat, Top 3 in India	Year 4
Create acquisition interest	Multiple offers	Year 4-5
Investor returns	5-10x for seed investors	Year 5

Exit Paths

Path 1: Strategic Acquisition

Most Likely Exit (70% probability)

Potential Acquirers

Category	Companies	Strategic Fit
Travel OTAs	MakeMyTrip, Goibibo, ixigo	Add luggage storage to travel booking funnel
Logistics/Delivery	Delhivery, Dunzo, Porter	Expand last-mile services, forgotten luggage synergy
Railways/Transit Hospitality	IRCTC, UPSRTC OYO Rooms, Lemon Tree, Zostel	Built-in infrastructure for station lockers Guest services extension
Mobility	Ola, Uber	Multi-modal travel services

Acquisition Value Drivers

Driver	Current	Target (Year 5)
Annual Revenue	-	₹15+ Crore
Monthly Active Users	-	5+ Lakh
Partner Locations	-	2,000+
Cities Covered	-	100+
Technology IP	App + Kiosk System	Proprietary NFC/IoT stack
Brand Value	-	Top 3 in category

Expected Valuation

Scenario	Revenue Multiple	Valuation
Conservative	3x ARR	₹45 Crore
Moderate	5x ARR	₹75 Crore
Optimistic	8x ARR	₹120 Crore

Path 2: Merger with Courier/Logistics Platform

Probability: 15%

Merger Targets

Company	Synergy
Delhivery	Combine luggage storage with delivery network
Ecom Express	Cross-sell storage to e-commerce returns
BlueDart/DHL	Premium storage + international logistics
Dunzo	Hyperlocal storage + instant delivery

Merger Terms (Typical)

Aspect	Typical Structure
Ownership	30-40% stake in combined entity
Management	BagDrop team retains operations role
Brand	Co-branded or BagDrop under parent
Valuation	Based on revenue + user base + tech

Path 3: Technology IP Licensing/Sale

Probability: 10%

Licensable Assets

Asset	Value Proposition	License Model
Mobile App	White-label for other storage operators	₹50 Lakh + royalty
Platform		
Partner Dashboard	SaaS for local storage businesses	₹10,000/month
IoT Kiosk System	Smart locker technology	Per-unit license
OTP/NFC Token System	Security tech for storage	Integration fee
Partner Network Data	Verified vendor database	Data license

Potential Licensees

- Railway operators (IRCTC, state railways)
- Airport authorities (AAI, private airports)
- Metro systems (Delhi Metro, BMRC)
- Shopping malls and retail chains
- Hotel chains

Path 4: Expansion & IPO (Long-term)

Probability: 5% (7+ year horizon)

IPO Requirements

Requirement	Target
Annual Revenue	₹100+ Crore
Profitability	3 years consecutive
Market Presence	Pan-India + 2 international markets
Team Size	500+ employees
Governance	Independent board, audited financials

IPO Timeline

Phase	Year	Milestone
Series A	2-3	₹5-10 Crore funding
Series B	4-5	₹25-50 Crore funding
Pre-IPO	6-7	₹100+ Crore round
IPO	7-8	BSE SME or NSE listing

Value Building Strategy

Year 1-2: Foundation

Focus	Actions
Technology	Build robust, scalable platform
Network	500+ verified partner locations
Market	Gujarat leadership, expand to 5 states
Revenue	₹1+ Crore ARR

Year 3-4: Growth

Focus	Actions
Scale	50+ cities, 2,000+ locations
Revenue	₹5+ Crore ARR
Partnerships	OTA integrations, railway tie-ups
Brand	Top 3 in India

Year 5: Exit Readiness

Focus	Actions
Valuation	₹50+ Crore target
Due Diligence	Clean books, legal compliance
M&A Advisory	Engage investment banker
Negotiations	Multiple term sheets

Investor Return Scenarios

Seed Investor (₹36 Lakh at ₹1 Crore valuation)

Exit Scenario	Exit Valuation	Investor Ownership	Return
Acquisition (5x)	₹50 Crore	25% (diluted)	₹12.5 Crore (35x)
Acquisition (3x)	₹30 Crore	25%	₹7.5 Crore (21x)
Merger (4x)	₹40 Crore	20%	₹8 Crore (22x)
IP Sale	₹15 Crore	30%	₹4.5 Crore (12.5x)

Exit Protection Mechanisms

For Founders

Mechanism	Description
Drag-Along Rights	Founders can force minority to sell in acquisition
Tag-Along Rights	Can join if majority sells
ESOP Pool	10% for team, vested over 4 years
Non-compete	2-year post-exit restriction

For Investors

Mechanism	Description
Liquidation Preference	1x preferred return before founders
Anti-dilution	Protection against down-rounds
Board Seat	Governance representation
Information Rights	Monthly/quarterly reporting

Strategic Partnerships for Exit Value

Partnership	Purpose	Exit Value Add
MakeMyTrip Integration	User acquisition	Acquisition interest
IRCTC Pilot	Credibility + railway network	Access to rail sector acquirers
OYO Partnership	Hotel channel	Hospitality sector interest
Delhivery API	Delivery ops	Logistics merger potential
Gujarat Tourism	Government backing	Policy support, credibility

Exit Timeline

Year 1-2: Build & Prove

- Technology development complete
- 500+ partner locations
- 1 Crore ARR achieved
- Seed/Angel funding secured

Year 3-4: Scale & Position

- Pan-India presence (50+ cities)
- 5+ Crore ARR
- Series A funding
- Strategic partnerships active
- Acquisition discussions begin

Year 5+: Exit Execution

- Investment banker engaged
- Due diligence package ready
- Multiple term sheets received
- Negotiation & closure
- Founder/investor payouts

Exit Risks & Mitigation

Risk	Impact	Mitigation
Low revenue growth	Lower valuation	Aggressive marketing, pricing optimization

Risk	Impact	Mitigation
Competition entry	Market share loss	USP focus (delivery), partner lock-in
Tech obsolescence	Reduced IP value	Continuous R&D, IoT upgrades
Regulatory changes	Compliance costs	Legal counsel, industry body membership
Economic downturn	Delayed exit	Maintain runway, profitable operations
Key person risk	Loss of leadership	ESOP, succession planning

Exit Criteria

Minimum Thresholds for Exit

Metric	Minimum	Target
Valuation	₹25 Crore	₹50+ Crore
Investor Multiple	5x	10x+
Founder Retain Post-Exit	1 year	2 years
Employee Protection	6-month guarantee	ESOP acceleration

Deal Breakers

- Valuation below ₹20 Crore
- Investor return below 3x
- Forced layoffs without severance
- Non-compete beyond 3 years
- Loss of brand identity without premium

Exit Advisory Network

Role	Purpose
Investment Banker	M&A process, valuation, negotiations
Legal Counsel	Term sheets, SHA, due diligence
Tax Advisor	Capital gains planning, structuring
Board Advisors	Strategic introductions, negotiations

Recommended Firms (India): - Investment Banking: Aventus, o3 Capital, Veda Corporate - Legal: AZB & Partners, Khaitan & Co, Trilegal - Tax: EY, Deloitte, KPMG